

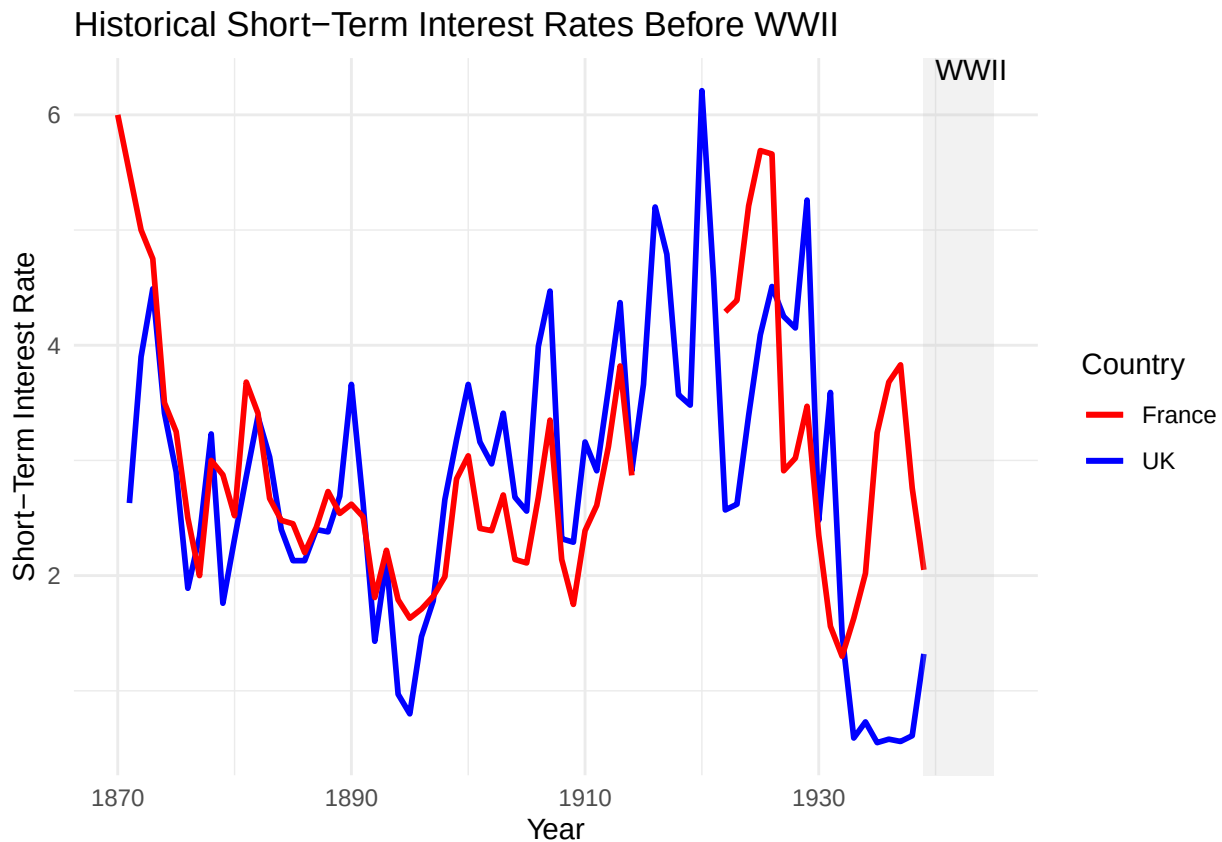
Assignment 2

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Historical Short-Term Interest Rates Before World War 2

Below is a plot of the short-term interest rates of two countries, France (red) and the United Kingdom (shortened UK; blue). On the X-axis is year, with each block representing 10 years. The starting year is 1870, and the ending year is 1940. Highlighted in gray is the duration of WWII, where the short-term interest rates stop being counted. On the Y-axis is short-term interest rate, as reported by country. There is a small gap between 1915 and 1921 in France's reporting, simply because the data was not available.



The relationship between the two country's interest rates is rather strong, showing a close interdependence between their economies. Both countries short-term interest rates increase during the period of World War 1, 1914-1918. This is likely due to increased wartime spending. However, even after the end of the war, interest rates remained rather high. This is likely due to the Great Depression, where spending was increased to pay back debts. Both countries had a drop in 1930 due to inflation.